Public finance:

Public finance is the study of revenue and expenditure of the government at the centre, state and local levels.

Meaning of fiscal policy:

Fiscal policy is defending as the policy under which the government uses the instruments of taxation, public spending and public borrowing to achieve various objectives of economic policy.

Instruments of fiscal policy – There are mainly three instruments of fiscal policy, namely taxation, public expenditure and public borrowing (debt).

Meaning of taxes: '' A compulsory contribution from a person to the government to defray the expenses incurred in the common interest of all, without reference to special benefit conferred''**.**

Types of taxes:

Direct- direct tax is that tax whose burden is borne by the same person on whom it is levied.

An indirect tax is that tax which is initially imposed on and paid by one individual, but the burden of which is passed over to some other individual who ultimately.

Proportional, progressive and regressive taxes:

1. **Proportional taxation:** A tax is called proportional when the rate of taxation remains the same as the income of the taxpayer increases.

2. **Progressive taxation:** A tax is called progressive when the rate of taxation increase as the taxpayer 's income increases.

3. **Regressive taxation:** A regressive tax is one in which the rate of taxation decreases as the taxpayer 's income increases.

4. **Digressive taxation:** A tax is called digressive when the rate of progression in taxation does not increase in the same proportion as the increase in income.

Public expenditure – meaning:

Public expenditure refers to the expenses incurred by public authorities – central government, state government and local bodies – for its own maintenance as also for the meeting of collective needs of the citizens and / or for promoting their economic and social welfare.

Importance of public expenditure –: The importance of the public expenditure emerges from the following facts.

Effects of public expenditure on production:

1. Public expenditure helps in generating income for various individuals and firms as result of purchase of goods and services and factor services from them. This helps in increasing the purchasing power of the people.

2. Public expenditure can help in increasing production in the economy by increasing the efficiency of the people. Public expenditure on education, medical services. Sanitation and cheap housing facilities increase the productive efficacy of the people at large, which leads to increase in production and income of the people.

3. Public expenditure can be used to create human skills through education and trainings.

4. Public expenditure can be used as a means of producing essential raw materials and other important inputs in the public sector. This people in removing various shortage, like shortage of steel and fertilisers so as to ensure smooth production.

5. Public expenditure is helpful in promoting the development of basic and key industries such as capital goods industries.

6. Public expenditure incurred in providing social security schemes such as old – age pension unemployment allowance, sickness benefits, free education and medical facilities, etc. increase the purchasing power of low income groups and, hence their ability to work.

Effect of public expenditure on investment:

1. confidence in the minds of the investors, and hence, it encourages them to undertake investment.

2. Public expenditure can be directly used to create social overheads in the form of human capital.

3. Creation and maintenance of economic overheads such as power, irrigation, transport and communication, would motivate the producers to undertake investment.

4. This government may provide financial assistance and subsidies to the private sector and thereby simulate investment provision of subsidies fertilisers and electricity has helped in the development of agriculture sector in India.

Effect of public expenditure on income distribution:

1. Public expenditure can be so devised as to help the poor sections of the society and thereby reduce inequality of income. Welfare measures like free educatio , free medical , facilities and social security schemes like old – age pensions, unemployment relief etc. can be given top priority to help the poor. Public expenditure incurred in providing subsidies on article of common consumption like food grains can also help the poor person and thereby improve income distribution. In India public expenditure has helped in reducing inequalities of income in the country through various welfare and social security schemes.

2. Public expenditure can be effectively used in reducing regional disparities as well. Subsidies and financial assistance may be given to the producers to set up industries in the backward regions

Effect of the public expenditure on economic growth:

1. Public expenditure promotes economic development directly by developing economic overheads and infrastructure and by establishing capital goods industries, basic and key industries, etc.

2. Public expenditure may stimulate economic development indirectly by providing education, training and research facilities. Public expenditure on education and training , public health and social security schemes increases efficiency and skill of people , and thereby contributes to economic development.

3. Public expenditure in the form of subsidies can help in stimulating agriculture and industrial development.

4. Public expenditure policy can be effectively used to reduce glaring disparities in income and wealth as well as to reduce regional disparities economic development. Repaid economic growth with social justice was accepted as the most important objectives our five years plans. This called for an increase in the role of government.

Public expenditure and economic stability

1- During the period of depression, the government is expected to raise its expenditure. Increase in public expenditure, largely in the from of direct public investment on a massive scale will add directly to aggregate demand in the economy and will thereby result in increasing in output and employment.

2- During the period of depression, the government is expected to raise its expenditure. On the other hand during the period of booms (characterised by inflation) , there is the needs of curbing excess demand. This can be done by reducing public expenditure while maintaining the same level of taxation and borrowing.

Public debt : Public debt is the debt which the government owes to its subjects or to the nationals of other countries.

Methods of debt redemption:

1- **Repudiation of debt:** Repudiation means refusal to pay a debt by the government. When the government repudiates public debt, it does not recognise its obligations to pay of the loan.It refuses to pay the interest as well as the principal amount of debt because of financial constraints**.**

2- **Refunding:** Refunding is the process by which the government raises new bonds to pay of the maturing bonds. Thus, the government takes a fresh loan to repay and old loan. In this case, the money burden of the debt is not liquidated but is postponed to some future date.

3- **Debt conversion:** Conversion of public debt means exchange of new debt for the old debt. In this method, the loan is actually not repaid , but he form of debt is changed. The process of conversion consists of converting a high – interest debt into low a low –interest.

4- **Budgetary surplus**: Sometimes the government is able to generate a surplus in its budget. It can use this budget surplus to pay off its debt to the people. A policy of surplus budget may be followed annually for paying off public debt gradually. The government may use the budgetary surplus to purchase back its own bonds and securities from the market.

5- **Terminal annuities:** Under this methods, the government pays its debt in equal annual instalments, which include interest as well as the principal amount of debt. The annual payments are called annuities. The governments is not required to repay the entire debt at a time, but the

burden of debts is reduced every year. Thus, it the method of repayments of loans in instalments.

6- **Sinking funds:** Sometimes, the government establishes a separate fund, known as sinking fund for the purpose of repayment of its debt. The governments credits (deposits) certain amount of its revenue every year for the repayment of outstanding debt.

7- **Capital levy:** Capital levy refers to a very heavy tax on property and wealth. It is a once – for – all tax imposed on capital assets of a certain value. A capital levy is just like a wealth tax as it is imposed on rich and propertied individuals on a progressive scale**.**

8- **Export surplus:** The method discussed above are used to repay internal debt. But external debt need as to be repaid normally in foreign exchange. It can be done by creating an export surplus. If foreign loans are invested in those industries which produce exportable goods, the loans may be easily repaid.

Deficit financing: Deficit financing means meeting the deficit between government expenditure and revenue through the creation of new money**.**